

**BEFORE THE
FEDERAL MARITIME COMMISSION**

S.P.F. LOGISTICS, INC.,	)	
	)	
<i>Complainant,</i>	)	
	)	
v.	)	
	)	
HAPAG-LLOYD AG,	)	
	)	
	)	DOCKET NO. 24-24
	)	
<i>Respondent.</i>	)	
	)	

**RESPONDENT’S REPLY TO COMPLAINANT’S OPPOSITION TO
RESPONDENT’S MOTION FOR SUMMARY JUDGMENT**

Respondent Hapag-Lloyd AG (“Respondent”) hereby replies to S.P.F. Logistics, Inc.’s (“Complainant”) opposition (“Opposition”) to Respondent’s Motion for Summary Judgment (“Motion”).

The Opposition urges the Presiding Officer to conclude that the Federal Maritime Commission (“FMC” or “Commission”) did not intend its statement regarding the scope of its jurisdiction – a statement that it made in connection with the original rulemaking and then repeated in the clarification of the rulemaking. In support of this unusual argument, the Opposition attempts to create a conflict between the Commission’s statement and previous statements/decisions of the Commission. However, the Commission’s most recent statement can be easily reconciled with earlier statements. The Presiding Officer should take the Commission’s statement at face value and grant the Motion.

I. The Opposition Lacks Merit

A. The Commission Twice Stated That It Lacks Jurisdiction

As explained in the Motion, the Commission expressly stated that it does not have subject matter jurisdiction over matters that arise from carrier-trucker relationships that are part of the inland portion of a merchant haulage move.¹ The FMC stated:

...presumably the FMC's jurisdiction, and thus this rule, would apply only to cargo moved inland under a through bill of lading and contracts between a VOCC. A motor carrier not based on a through bill of lading would likely be outside the scope of this rule.

Demurrage and Detention Billing Requirements, 89 Fed. Reg. 14330 at 14336 (February 26, 2024). If the Commission had meant to say that the rule did not apply to relationships not involving a through bill of lading, it could have done so without mentioning the scope of its jurisdiction. However, it chose to include the statement about jurisdiction that the Opposition now seeks to have the Presiding Officer ignore.

The mention of jurisdiction was deliberate, as evidenced by the repetition of the statement in the Commission's clarification. In *Demurrage and Detention Billing Requirements, Final Rule Correction*, 89 Fed. Reg. 39569, 39570 (May 9, 2024), where the Commission revised the language quoted above to read:

...we presume that the FMC's jurisdiction would apply only to cargo moved inland under a through bill of lading and that contracts between a VOCC and a motor carrier not based on a through bill of lading would likely be outside the scope of this rule.

Again, had the Commission's intent had been to exclude merchant haulage movements from the rule on the billing of demurrage and detention, it would not have been necessary for the

¹ Merchant haulage moves are those movements where "the customer takes responsibility for arranging and paying the cost of transporting the cargo between an inland facility and the port." *Intermodal Motor Carriers Conference v. OCEMA, et al.*, Docket No. 20-14, 2024 WL 641501 at *3 (February 13, 2024).

Commission to mention the scope of its jurisdiction again. The fact that the Commission twice stated that its jurisdiction does not include such movements indicates that this statement was substantive, deliberate, and significant. The Presiding Officer should not disregard it.

Moreover, Respondent is not taking the statement “out of context.” In adopting a rule relating to the billing and demurrage and detention, the Commission twice commented on the scope of its jurisdiction over demurrage/detention. Complainant’s argument that the statement is being taken “out of context” would require the Presiding Officer to ignore the plain meaning of the twice repeated statement.

B. Past Rulings/Statements Do Not Support A Finding Of Jurisdiction In This Proceeding

Complainant argues that a past Commission proceeding and comments by the Commission in a previous rulemaking require a finding of jurisdiction in this proceeding. This is merely an attempt by Complainant to create ambiguity where none exists.

Complainant argues that jurisdiction exists here because jurisdiction was found to exist over similar claims in FMC Docket No. 21-09. In Docket No. 21-09, the Bureau of Enforcement (now the Bureau of Enforcement, Investigations and Compliance) alleged that certain demurrage/detention practices of Hapag-Lloyd violated Section 41102(c) of the Shipping Act. The administrative law judge found that the challenged conduct violated the Shipping Act, and imposed civil penalties. However, before exceptions to the initial decision were filed or the initial decision otherwise became final, Hapag-Lloyd and the Bureau of Enforcement entered into a settlement agreement, under which Hapag-Lloyd did not admit to any violations of the Shipping Act. See Settlement Agreement, FMC Docket No. 21-09, Docket Entry #37. Where an agency settles a matter on terms inconsistent with an earlier ALJ decision, the settlement modifies the ALJ decision and the settlement, rather than the ALJ decision, constitutes the final agency action. See

Estabrook v. U.S., 41 Fed. Cl. 283, 289 (Fed. Cl. 1998). Because the FMC approved a settlement in Docket No. 21-09 under which Respondent did not admit any violation of the Shipping Act, the initial decision in that proceeding does not constitute final agency action by the Commission and does not constitute binding precedent.

Given that Docket No. 21-09 is not a Commission decision, it cannot be found to conflict with or to take precedence over the more recent pronouncement by the Commission that its jurisdiction does not extend to ocean carrier/motor carrier relationships that do not involve through bills of lading. Moreover, nothing in the Order of Investigation and Hearing in FMC Docket No. 21-09 addresses any potential distinction between merchant haulage and carrier haulage shipments. Accordingly, any ruling in that proceeding is not relevant to the argument advanced in the Motion.

Similarly, Complainant's attempts to suggest that the Commission's most recent statements about the scope of its jurisdiction (which are quoted above) are inconsistent with prior statements by the Commission should be rejected. Complainant's suggestion that the Commission's previous statements that it has jurisdiction over conduct subject to the UIIA means that it must have jurisdiction here is logically flawed. The general statement cited by Complainant and subsequent clarifications by the Commission that limits the previous statement to conduct under the UIIA involving through bills of lading are entirely consistent with one another. The subsequent statements, upon which Respondent rely, are a later in time clarification and refinement of the earlier, more general statement. The same is true with respect to more general statements made in the context of the adoption of the so-called Interpretative Rule on demurrage/detention and the subsequent, more specific statements.

C. The Timing Of The Conduct At Issue And The Passage Of OSRA 2022 Is Flawed

Complainant's argument that the conduct at issue is subject to Commission jurisdiction because it occurred prior to the passage of the Ocean Shipping Reform Act of 2022 ("OSRA 2022") and the rulemaking in which the Commission disclaimed jurisdiction is flawed.

The allegations in this proceeding relate to Section 41102(c) of the Shipping Act. That provision was not revised by OSRA 2022. Given that the Commission has stated that Section 41102(c) does not confer jurisdiction over ocean carrier-motor carrier relationships unless a through bill of lading is involved, then no jurisdiction exists under that Section regardless of whether the announcement was made before or after the conduct at issue.

D. Complainant's Recitations of Truisms Regarding Jurisdiction Are Unpersuasive

Complainant's recitations of truisms regarding FMC jurisdiction, while not inaccurate, are nonetheless not supportive of its position.

Complainant cites two truisms in an effort to bolster its arguments: (i) that "any person" may file a complaint alleging a violation of the Shipping Act; and (ii) the Commission has jurisdiction over complaints alleging violations of the Shipping Act by ocean common carriers.

With respect to the "any person" issue, the FMC has explained:

The "any person" language in section 11 of the 1984 Act relates only to who may bring an action. It is procedural in nature, and does not give the Commission any jurisdiction over a particular subject matter. Such jurisdiction must be found in the substantive provisions of that statute. *See e.g., International Association of NVOCCs v. Atlantic Container Line*, (Order Affirming Dismissal of Collective Bargaining Associations), 25 S.R.R. 734, 744 (1990); *Cargill, Inc. v. Waterman Steamship Corp.*, 21 S.R.R. 287, 300 (1981).

Sea-Land Dominicana v. Sea-Land Service, Inc., 26 S.R.R. 578, 581 (FMC 1992). Thus, the fact that Complainant is a "person" does not in and of itself confer jurisdiction on the Commission.

With respect to the statement that the Commission has jurisdiction over complaints alleging violations of the Shipping Act by ocean common carriers, that is of course true in a vacuum. However, this general statement of legal principle does not mean that the Commission necessarily has jurisdiction over any complaint filed with the agency. The Commission must have both personal and subject matter jurisdiction in order to entertain a complaint. Here, the subject matter jurisdiction is lacking due to the Commission's specific and express statement that it lacks jurisdiction over ocean carrier-motor carrier relationships not involving a through bill of lading.

II. The Motion Is Timely, Not Premature

When the Commission's rules of practice and procedure are silent on a subject, the Commission follows the Federal Rules of Civil Procedure ("FRCP"). 46 C.F.R. §502.12. Under FRCP 12(b), a motion asserting a lack of subject matter jurisdiction is to be made before pleading if a responsive pleading is allowed. If a motion to dismiss presents matters outside of the pleadings, it is treated as a motion for summary judgment. *Application of Leslie Enterprises, Inc. for the Benefit of International Trade Operators, Inc.*, 24 S.R.R. 1436, 153 (ALJ 1987); see also FRCP 12(d). Here, because the motion presented the relevant bills of lading (which were not included in the complaint), Respondent recognized the procedural reality of how the Motion would be treated and styled the Motion accordingly. The Motion is not premature.

III. Conclusion

For the reasons set forth in the Motion and above, summary judgment should be granted to Respondent on the grounds that the Commission lacks jurisdiction over the Complaint.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is fluid and cursive, with the first name "Wayne" and last name "Rohde" clearly distinguishable.

Wayne R. Rohde
Rachel Schwartz
COZEN O'CONNOR
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Dated: October 3, 2024

Exhibit #1

REPLY TO COMPLAINANT’S STATEMENT OF UNDISPUTED MATERIAL FACTS

5. SPF is a “person” as used in the Act. 1 U.S.C. §1.

Hapag-Lloyd Response: Admit.

6. Empty containers were unable to be returned due to lack of return locations or insufficient or non-existent appointments at Hapag’s designated terminals, Complaint ¶38(b).

Hapag-Lloyd Response: Deny. Further deny that this allegation is material to the subject of the motion for summary judgment.

7. Empty containers were unable to be returned also because of requirements which were unlawfully imposed such as a dual transaction requirement, Complaint ¶38(a).

Hapag-Lloyd Response: Deny. Further deny that this allegation is material to the subject of the motion for summary judgment.

8. Notwithstanding the inability to return empty containers through no fault of its own, SPF was subject to unreasonable detention charges by Hapag, Complaint ¶26.

Hapag-Lloyd Response: Deny. Further deny that this allegation is material to the subject of the motion for summary judgment.

9. In addition to being assessed detention charges, SPF was damaged because it had to incur storage charges for the containers that were not able to be returned, additional drayage charges to move the empty containers to a storage yard, and other damages, according to proof, ¶39.

Hapag-Lloyd Response: Deny. Further deny that this allegation is material to the subject of the motion for summary judgment.

10. SPF has alleged violations of the Act, 46 U.S.C. §41102(c), Complaint, *passim*.

Hapag-Lloyd Response: Admit SPF has alleged violations of the Act, but deny that such allegations are material to the subject of the motion for summary judgment.

11. SPF alleges the return of empty containers to a common carrier relates to, or is connected with, the receiving, handling, storing or delivering property, as contemplated by the Act at 46 U.S.C. §41102(c), see also 46 C.F.R. §545.5(b) and (c)(2)(ii), Complaint ¶ 35-37.

Hapag-Lloyd Response: Admit this is a description of SPF’s allegations, but deny that such allegations are material to the subject of the motion for summary judgment.

12. An ocean carrier is responsible for having adequate terminal facilities for the return of empty containers, Complaint ¶ 36.

Hapag-Lloyd Response: This is a conclusion of law rather than a statement of fact. Accordingly, it is denied. Further deny that this conclusion of law is material to the subject of the motion for summary judgment.

13. The related empty container at issue in the SPF complaint were returned to Hapag from September 20, 201-November 9, 2021, prior to the enactment of OSRA 2022, Complaint, Exhibit A.

Hapag-Lloyd Response: Admit, but deny that this is material to the subject of the motion for summary judgment.

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 3rd day of October, 2024, the foregoing Respondents' Reply
was served via electronic mail on:

Stephen M. Uthoff
suthoff@uthofflaw.com

A handwritten signature in black ink, appearing to read "Wayne Rohde", written in a cursive style.

Wayne Rohde